CHARTERED ACCOUNTANTS ACADEMY

APPLIED AUDITING AND GOVERNANCE DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 1 - THE AUDITING PROCESS

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1. INTRODUCTION

The diagram at the beginning of your course notes, sets out the different stages of the audit process. The audit process can be divided into four stages. The first phase is the pre-engagement phase. The second phase is the planning phase. The third phase is the auditor's response to the assessed risks. The fourth phase is the evaluation, conclusion and reporting phase.

2. Objective of The Audit Process

The objective of this study unit is for you to gain an understanding of the activities carried out by the auditor and the reason behind those activities.

3. Scope

The scope of the auditor's work and the opinion provided are usually confined to whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework. As a result, an unmodified auditor's report does not provide any assurance about the future viability of the entity, nor the efficiency or effectiveness with which management has conducted the affairs of the entity.

Any extension of this basic audit responsibility, such as that required by law or ZSE regulations, would require the auditor to undertake further work and to modify or expand the auditor's report accordingly.

4. Study material

- CAA Applied Auditing and Governance AUD 402 Module 1
- ISA Handbooks, KING IV, NCCGZ & COBE.

5. Competence Framework expectation

The Audit Process Knowledge Reference List	
1. Concepts and principles	
▪ The audit process	3
▪ Financial statement assertions	3
2. Planning	
▪ Planning an audit of financial statements (ISA 300)	2
▪ Materiality in planning and performing an audit (ISA 320)	2
▪ Identifying and assessing the risks of material misstatement through understanding the entity and its environment (ISA 315)	3

▪ The auditor's procedures in response to assessed risks of material misstatement (ISA 330)	3
▪ Planning in a computerised information systems environment	2
3. Procedures for gathering audit evidence	
▪ Audit evidence (ISA 500)	3
▪ Nature, timing and extent of –	
○ tests of controls	3
○ substantive analytical procedures	3
○ substantive tests of details	3
▪ Computer Assisted Audit Techniques (CAATs)	2

6. Examination possibilities

The audit process will be examined within the different components of the process.

7. Assumed Knowledge

- Knowledge of auditing in accordance with ISAs
- The concept of auditing and other assurance engagements
- The objective of auditing
- The role of the auditor
- The relationship between the ISAs and IFRS
- The principal agent theory in relation to auditing

8. Integration

This topic can be integrated with any of the topics in the auditing module for first and second semester.

9. Course Notes

The diagram on the next page sets out the different stages of the audit process. The audit process can be divided into four stages. The first phase is the **pre- engagement phase**. The second phase is the **planning phase** which includes obtaining an understanding of the entity and its environment, the assessment of risks and establishing the overall audit strategy and audit plan. The third phase is the auditor's response to the assessed risks and includes the **performance of tests of controls and substantive audit procedures**. The fourth phase is the **evaluation, conclusion and reporting phase.**

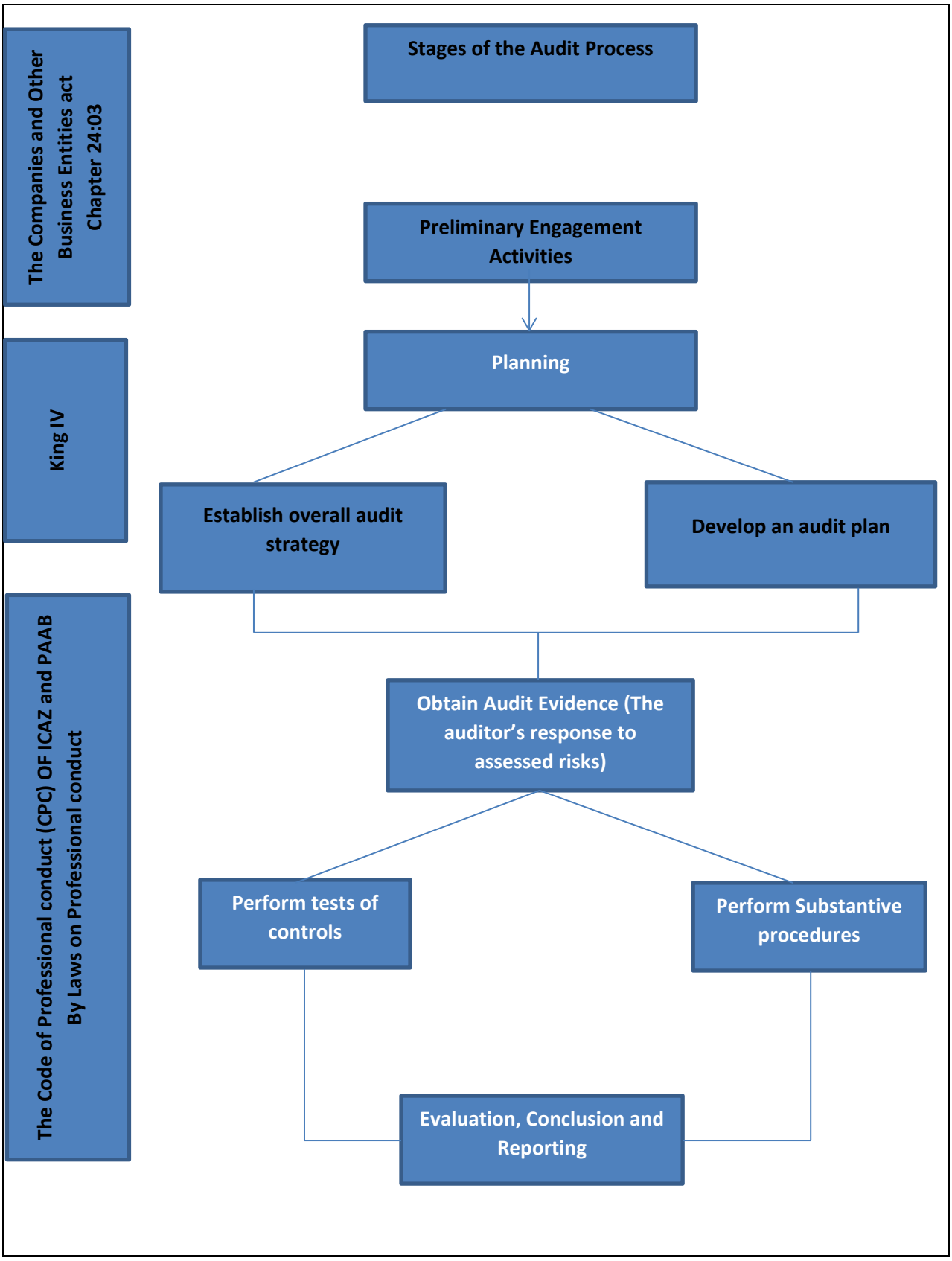
While studying the diagram, you will note that, the CPC, By–Laws, King IV and Companies and Other Business Entities Act are depicted across all the stages of the audit process. This is because they are not only applicable at a specific stage of the audit process but throughout the whole audit process. The auditor has to comply with ethics, principles and laws from the time of assessing whether or not to accept the client until the issuance of the audit report.

9.1. Scope of an audit

The scope of the auditor's work and the opinion provided are usually confined to whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework. As a result, an unmodified auditor's report does not provide any assurance about the future viability of the entity, nor the efficiency or effectiveness with which management has conducted the affairs of the entity.

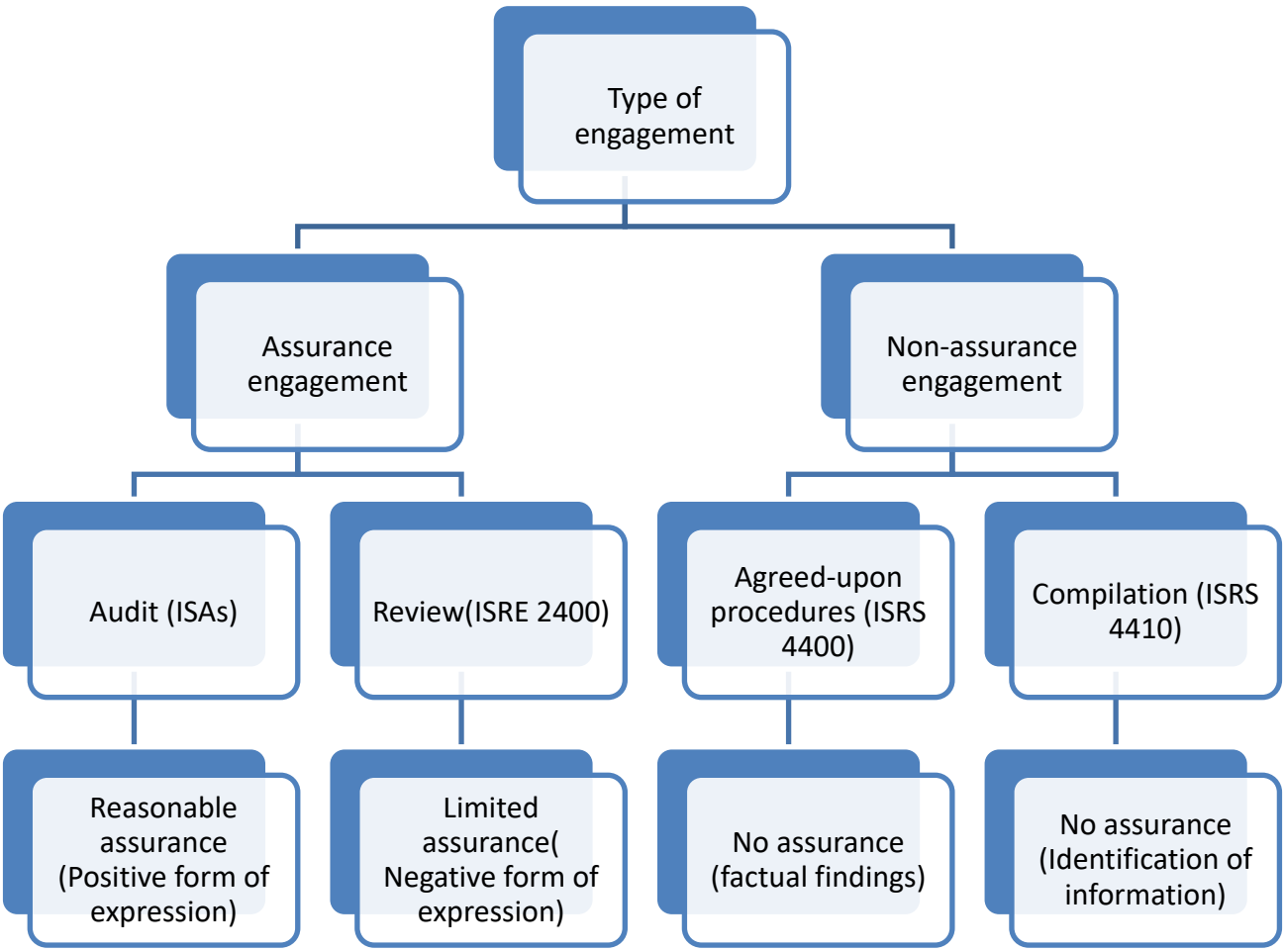
Any extension of this basic audit responsibility, such as that required by law or ZSE regulations, would require the auditor to undertake further work and to modify or expand the auditor's report accordingly.

9.2. Overview of the audit process



9.3. Types of Engagements that can be performed by an auditor

The auditor may perform different types of engagements depending on the objectives and purpose of the engagements. Below is a diagram which gives an overview of the various types of engagements that can be performed by an auditor.



9.4. Reasonable assurance engagement:

The objective of a reasonable assurance engagement is a reduction in assurance engagement risk to an acceptably low level in the circumstances of the engagement as the basis for a positive form of expression of the practitioner's conclusion. Therefore, in an audit engagement the auditor has to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error.

9.5. Limited assurance engagement:

The objective of a limited assurance engagement is a reduction in assurance engagement risk to a level that is acceptable in the circumstances of the engagement, but where that risk is greater than for a reasonable assurance engagement, as the basis for a negative form of expression of the practitioner's conclusion.

NB!!! In a limited assurance engagement, a practitioner is willing to accept higher risk as compared to a reasonable assurance engagement given that the practitioner will be giving a negative form of expression.